

Member ID: _____

Time: _____

Rank: _____



ADVANCED COLLEGE ACCOUNTING (115) **STATE 2024**

CONCEPT KNOWLEDGE:

Multiple Choice (20 @ 2 points each) _____ (40 points)

APPLICATION KNOWLEDGE:

Short Answer: _____ (40 points)

Problem 1: (20 @ 2 points each) _____ (40 points)

Problem 2: (30 @ 2 points each) _____ (60 points)

Problem 3: (9 @ 5 points each) _____ (45 points)

TOTAL POINTS _____ (***225 points***)

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Identify the letter of the choice that best complete the statement or answers the question.

1. The two primary decision-specific qualities that make accounting information useful are:
 - A. Usefulness and verifiability
 - B. Relevance and faithful representation
 - C. Practical and predictive
 - D. Materiality and effectiveness
2. Which of the following characteristics does not describe an asset?
 - A. Resource of a business
 - B. Probable future economic benefit
 - C. Business has control over it
 - D. Represents net income of a business
3. Which of the following is a temporary account?
 - A. Prepaid Expenses
 - B. Accrued Expenses
 - C. Rental Income
 - D. Deferred Income
4. Which of the following accounts is decreased with a debit?
 - A. Accounts Payable
 - B. Accounts Receivable
 - C. Prepaid Expense
 - D. Insurance Expense
5. Which of the following is an accrued liability?
 - A. Deferred Revenue
 - B. Retained Earnings
 - C. Sales Discounts
 - D. Accumulated Depreciation
6. Why are Accounts Receivable normally classified as current assets on the balance sheet?
 - A. Accounts receivable represent sales in the current period.
 - B. Accounts receivable are expected to be collected with the year.
 - C. Cash is collected when accounts receivable are paid.
 - D. Accounts receivable are not a major portion of total assets.

7. Liquidity can best be described as a company's ability to:
 - A. Pay its debts as they come due
 - B. Generate cash from current operations
 - C. Convert assets to cash to pay current obligations
 - D. Earn income during the period
8. A company changed from the completed contract method to the percentage-of-completion method of accounting for its long-term construction contracts. This is an example of:
 - A. A change in accounting principle.
 - B. A change in accounting estimate.
 - C. An unusual item.
 - D. A discontinued operation.
9. Which of the following items would be included in the operating activities section of the statement of cash flows?
 - A. Sale of common stock
 - B. Purchase of equipment
 - C. Payment of dividends
 - D. Payment of interest
10. If sales for the year are \$2,500,000 while beginning accounts receivable are \$300,000 and ending accounts receivable are \$200,000, what is the average collection period in days?
 - A. 70.2
 - B. 10.0
 - C. 36.5
 - D. 43.8
11. Which of the following would be considered a cash equivalent?
 - A. Inventory
 - B. 90-day Treasury Bill
 - C. Accounts Receivable
 - D. 120-day certificate of deposit
12. _____ is an independent, private-sector group whose five sponsoring organizations periodically identify and address specific accounting issues or projects related to internal controls.
 - A. Financial Accounting Standards Board
 - B. Public Company Accounting Oversight Board
 - C. Security and Exchange Commission
 - D. Committee of Sponsoring Organizations

13. Internal controls can be described as policies and procedure created to:
- A. Protect customer and supplier data.
 - B. Identify weaknesses in manual processes.
 - C. Protect the assets and operations of a company.
 - D. Ensure all financial statements are 100% error-free.
14. Which of the following items are found on the book side of the bank reconciliation?
- A. beginning bank balance
 - B. outstanding checks
 - C. interest income
 - D. error made by bank
15. A company computes bad debt based on the allowance method. They determine their current year's balance estimation to be a credit of \$35,000. The previous period had a credit balance in Allowance for Doubtful Accounts of \$12,000. What will be the amount for the adjusting entry for the current year?
- A. \$12,000
 - B. \$35,000
 - C. \$23,000
 - D. \$47,000
16. Which estimation method considers the amount of time past due when computing bad debt expense?
- A. Account receivable aging method
 - B. Direct write-off method
 - C. Percentage of net sales method
 - D. Income statement method
17. A company collects an honored short-term note receivable. What accounts are used to record collection of the honored note at maturity date?
- A. Interest Revenue, Interest Receivable, Cash
 - B. Interest Revenue, Interest Receivable, Notes Receivable
 - C. Interest Receivable, Cash, Notes Receivable
 - D. Notes Receivable, Interest Revenue, Cash
18. When inventory items are highly specialized, the best inventory costing method is _____.
- A. Specific identification
 - B. First-in, first-out
 - C. Last-in, first-out
 - D. Weighted-average

19. If goods are shipped FOB destination, which of the following is true?
- A. Title to the goods will transfer as soon as the goods are shipped.
 - B. The delivery company is responsible for the goods during shipment.
 - C. The seller must pay the shipping.
 - D. The seller and the buyer will each pay 50% of the cost.
20. Which of the following is not considered a current liability?
- A. Accounts Payable
 - B. Unearned Revenue
 - C. Five-year note payable
 - D. Deferred Tax Liability

Short-Answer Questions

Short Answer #1

If a group of inventory items costing \$15,000 had been omitted from the year-end inventory count, what impact would the error have on the following inventory calculations? Indicate the effect on each of the following inventory items as either none, understated, or overstated.

Inventory Item	None or understated or overstated?
Beginning Inventory	
Goods Available for Sale	
Ending Inventory	
Cost of Goods Sold	

Short Answer #2

On December 1, Watts Corporation borrowed \$100,000 at 6% interest by signing a 60-day promissory note with the local bank. Prepare the adjusting entry for interest accrued on December 31.

Date	Accounts	Debit	Credit

Short Answer #3

On December 31, Washburn Company's unearned rent revenue account had a credit balance of \$10,000. Of this amount, \$2,250 remained unearned. Prepare the adjusting entry for revenue on December 31.

Date	Accounts	Debit	Credit

Short Answer #4

On December 31, Townsend Company determined Office Supplies had a balance of \$12,500. The account had a beginning balance of \$10,000 and \$25,000 of supplies were purchased during the period. Prepare the adjusting entry for office supplies in the journal provided.

Date	Accounts	Debit	Credit

Short Answer #5

Find the amount of interest due on the following notes.

Principal	Rate (%)	Time	Interest
\$54,000	11.9	2 months	
\$184,500	7.75	58 days	
\$2,500	6.25	90 days	
\$750,000	13.35	9 months	

PROBLEMS

Problem #1 – (40 points)

On January 1, 2022, Toronto Turbines purchased machinery for cash at a cost of \$470,000. The machinery had a useful life of five years and a residual value of \$45,000. The company uses straight-line depreciation. Record the journal entries for the following:

- 1/1/22 Purchase of the machinery.
- 12/31/22 Depreciation expense for the year.
- 7/1/23 Sale of the machinery for \$400,000.

Date	Accounts	Debit	Credit

Problem #2 – (60 points)

Record the journal entries for the following transactions for Camelot Company:

January 12 – Camelot Company recorded sales revenue of \$50,000 on account for a sale made to King LTD, terms n/30.

February 11 – King made a payment of \$30,000 on their account

February 22 – King notified Camelot it was unable to pay the account. Camelot negotiated a note receivable in the amount of \$20,000 in lieu of the account receivable. According to the terms on the note payment was to be made in full in 60 days at an interest rate of 4.5%.

April 23 – King dishonored the note.

May 15 - Camelot wrote off the account receivable using the allowance method.

June 10 – King unexpectedly paid the full balance on the dishonored note.

[illegible]

Problem #3 – (40 points, 5 points each answer)

Below is the financial data for Auto Part Supply Company for the most recent fiscal year end.

Auto Part Supply Company Balance Sheet (in millions)		
	12/31/2022	12/31/2021
Assets		
Current assets		
Cash and cash equivalents	\$3,230	\$1,260
Accounts receivable, net	1,880	1,560
Inventory	650	470
Prepaid expenses	<u>1,350</u>	<u>1,000</u>
Total current assets	7,110	4,290
Property, plant and equipment, net	9,250	6,650
Intangible assets, net	350	400
Other non-current assets	<u>1,521</u>	<u>1,581</u>
Total assets	<u>\$18,231</u>	<u>\$12,921</u>
Liabilities		
Current liabilities		
Accounts payable	1,320	1,400
Accrued liabilities	1,930	1,220
Deferred revenue	1,450	1,160
Current portion of notes payable	<u>2,130</u>	<u>1,780</u>
Total current liabilities	6,830	5,560
Long-term notes payable	3,500	2,890
Other long-term liabilities	<u>1,800</u>	<u>1,450</u>
Total liabilities	12,130	9,900
Stockholders' equity		
Common stock; \$1 par value; 2,000,000 shares authorized; 1,000,000 issued and outstanding	1	1
Additional paid-in capital	4,400	1,530
Retained Earnings	550	340
Total stockholders' equity	<u>4,951</u>	<u>1,871</u>
Total liabilities and equity	<u>\$17,081</u>	<u>\$11,771</u>

Auto Part Supply Company
Income Statement
Year Ended December 31, 2022
(in millions, except per share data)

Total revenues	\$10,500
Cost of goods sold	<u>3,620</u>
Gross profit	\$6,880
Operating Expenses:	
Selling Expenses	3,250
Administrative Expenses	2,089
Other Operating Expenses	950
Depreciation Expense	<u>280</u>
Total Operating Expenses	<u>6,569</u>
Income from operations	311
Other Revenues and Expenses	
Interest Expense	<u>45</u>
Income before Income Tax	266
Income Tax Expense	<u>56</u>
Net Income	<u>\$210</u>
Basic Earnings Per Share	\$210

Given the above financial data, calculate the following ratios for the most recent year. The market price of the common stock at year-end is \$4,000.

Current Ratio	
Account Receivable Turnover Ratio	
Inventory Turnover Ratio	
Asset Turnover Ratio	
Debt-to-Equity Ratio	
Times Interest Earned Ratio	
Return on Total Assets	
Return on Stockholders' Equity	
Price -Earnings Ratio	